



EMERGING TECH RESEARCH

Gaming VC Trends

VC activity across the gaming ecosystem

Q1
2025

REPORT PREVIEW

The full report is available through the PitchBook Platform.





Contents

Gaming landscape	3
Gaming VC ecosystem market map	4
VC activity	5
Gaming VC deal summary	22

Institutional Research Group

Analysis



Eric Bellomo Senior Research Analyst,
E-commerce and Gaming
eric.bellomo@pitchbook.com

Data

Harrison Waldock Data Analyst
pbinstitutionalresearch@pitchbook.com

Publishing

Report designed by **Megan Woodard** and **Jenna O’Malley**
Published on June 6, 2025



Gaming landscape

- 1 Development
- 2 Operations
- 3 Access
- 4 Content
- 5 Experience

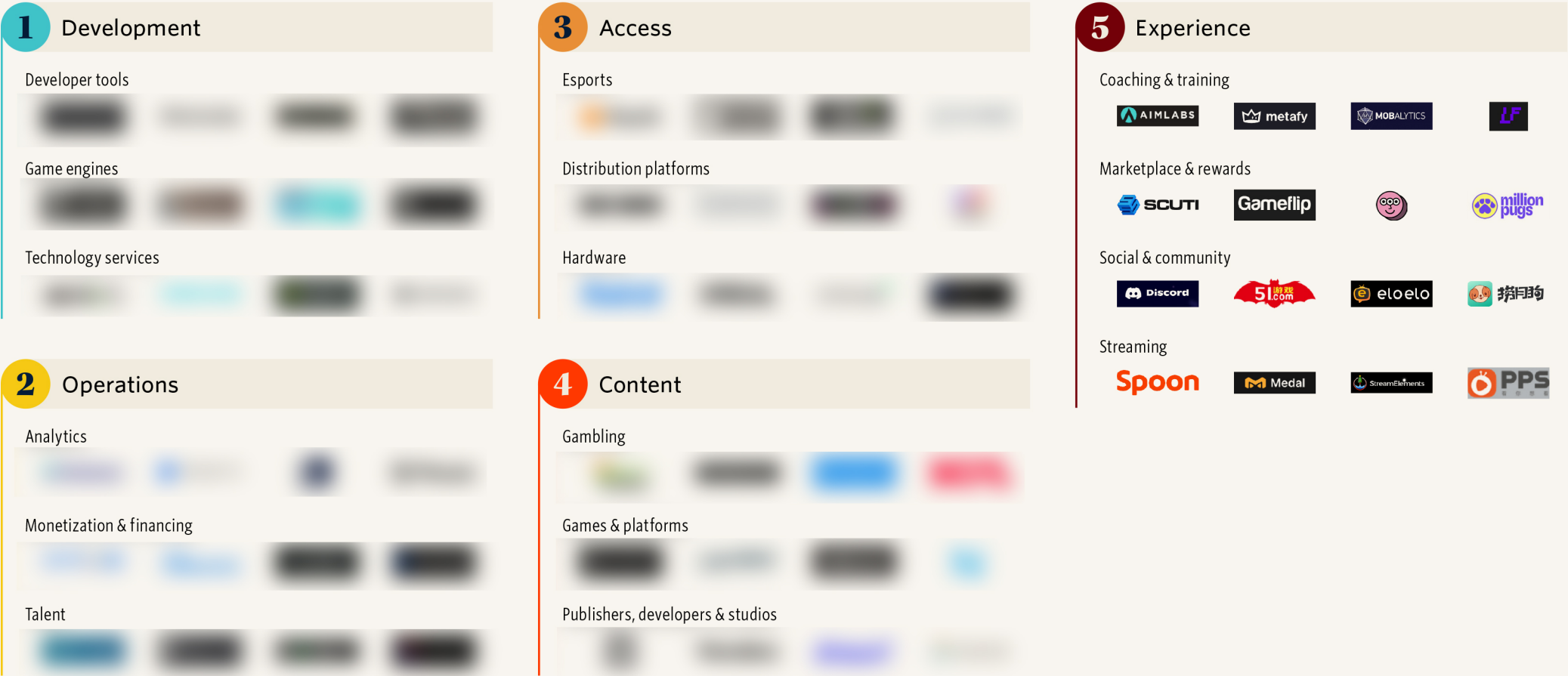




Gaming VC ecosystem market map

This market map is an overview of venture-backed or growth-stage companies that have received venture capital or other notable private investments as of Q1 2025.

[Click to view the latest interactive map on the PitchBook Platform.](#)





VC activity

Q1 deal activity extends the current equilibrium

Gaming VC investment decreased slightly in Q1 2025 to \$1.2 billion (-3% QoQ) across 134 deals (-5% QoQ). Excluding Disney's outlier investment in Epic Games in Q3 2024, deal activity has largely stabilized since H1 2023, averaging \$1.3 billion across 172 transactions per quarter, albeit with pressure to the downside on deal volume.

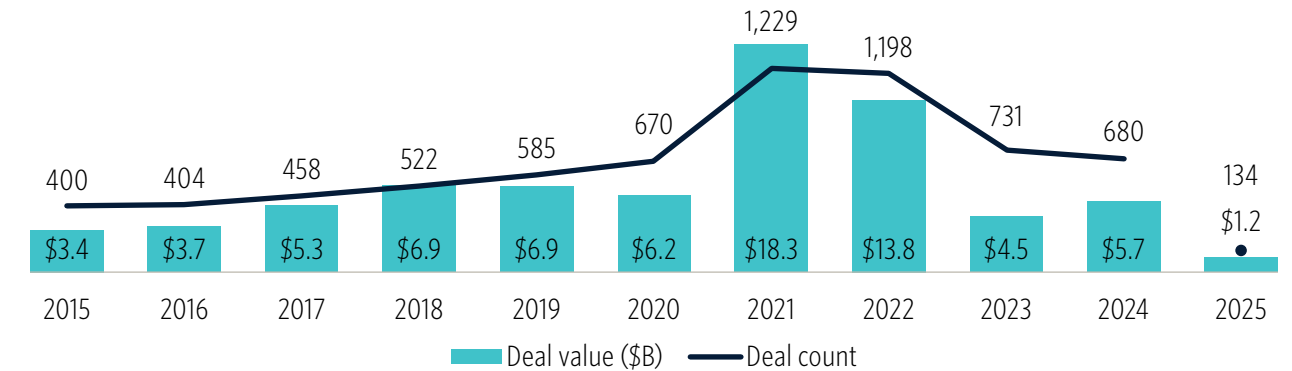
Deal count in Q1 was the lowest quarterly figure since Q2 2019, underscoring that investors are increasingly discerning as the industry awaits the next platform shift, focusing on distribution innovation in the interim while grappling with the lack of breakout hits from exuberant funding between 2021 and 2022. Exit pathways remain largely blocked, with closed VC and PE exits generating \$128 million in disclosed value across 13 deals.

Tariff headwinds shift

US President Donald Trump's sweeping "Liberation Day" tariffs announced in April came after months of speculation about the ultimate depth and breadth of levies expected from the administration. Global gaming hubs Vietnam, China, and Japan were ensnared, as was the rest of the world, roiling markets in uncertainty and driving the CBOE Volatility Index, or VIX, upward.¹

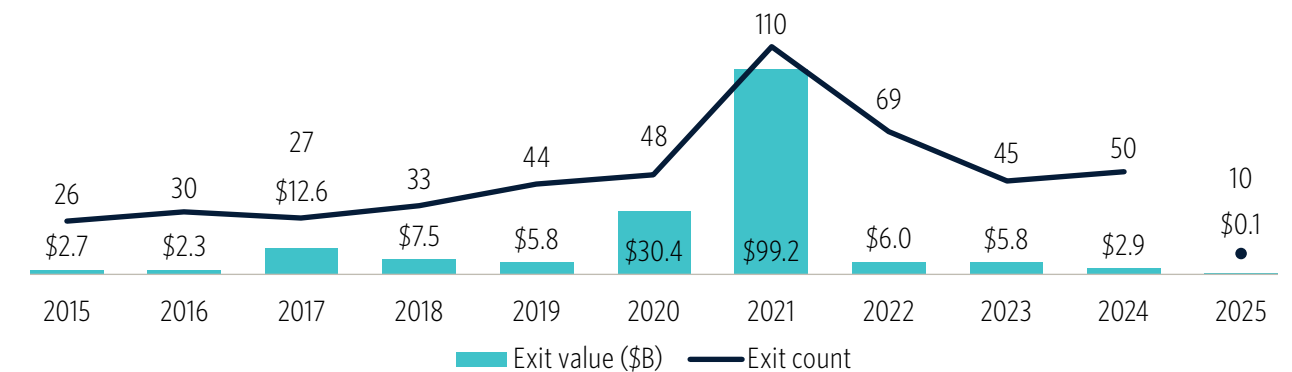
1: "The VIX, Wall Street's 'Fear Gauge,' Is Soaring. Here's Why," The Wall Street Journal, Caitlin McCabe, April 8, 2025.

Gaming VC deal activity



Source: PitchBook • Geography: Global • March 31, 2025

Gaming VC exit activity



Source: PitchBook • Geography: Global • March 31, 2025



VC ACTIVITY

The worst of the impact was avoided due to the announcement of delays and deals. Gaming's primary exposure to the tariffs is in hardware and peripheral components, which amount to a \$40 billion market.² One degree removed, toymakers and intellectual property (IP) holders, like Mattel and Hasbro, saw their stock prices plunge following these announcements. Platforms that have leaned into digitization—for example, Microsoft's Game Pass for Xbox and Hasbro's licensing of Monopoly IP—continue to have a hedge against exogenous shocks, like tariffs, by lessening their dependence on global supply chains, demand volatility, and manufacturing.

After revealing specs for the Switch 2, priced at a higher-than-anticipated \$450, Nintendo then delayed preorders in the US and now faces a diminished sales outlook in the near term. Hardware manufacturers that shipped the product throughout the first Trump administration do have some experience shifting supply chains, but the geopolitical climate has increased in complexity. Consumer groups, like the Consumer Technology Association and Entertainment Software Association, have voiced their opposition throughout the past five months, warning that game consoles could become 40% more expensive.^{3,4} An emergent risk is the threat of tariffs targeting digital products like movies and television shows made outside of the US. One degree removed are video games, which have a global development footprint and a fraught regulatory relationship to begin with, as evidenced by China's close grip on game license approvals. Though these tariffs represent a nonzero risk, we view them as less likely compared with levies on electronics and hardware.

2: ["Interactive Entertainment 2025," ALDORA, August 9, 2024.](#)

3: ["How the Proposed Trump Tariffs Increase Prices for Consumer Technology Products," Consumer Technology Association, January 2025.](#)

4: ["Tariffs," Entertainment Software Association, n.d., accessed June 2, 2025.](#)

Among consumers, market bifurcation remains pronounced

Aggregate retail sales undulated in Q1, signaling potential weakness in consumer demand. Sales sputtered in January but jumped in March due to anticipation of future price increases.⁵ The economy's underlying bifurcation remains pronounced: Top-decile earners accounted for nearly half of domestic spending, while spending totals decline across all other brackets. In gaming, this translates to companies marketing premium product bundles across hardware and software. Preorders of the Switch 2 numbered in the millions, despite a \$450 price tag, while flagship titles like Mario Kart World now cost \$80. PlayStation sales in Q1 were buoyed by the \$700 PlayStation 5 Pro, and the industry continues to speculate about Grand Theft Auto VI's price point, which may well be augmented by its inclusion in a premium bundle.

Early investment activity faces continued pressure, late-stage activity stabilizes

Pre-seed/seed VC activity in gaming continues to face downward pressure. Q1 2025 produced 44 deals, the lowest count since Q3 2018. As a portion of all gaming VC activity, pre-seed/seed activity bottomed at 25.7% of rounds in Q1 2024, but the absolute count of deals continues to shrink and currently sits in the low-30% range. Early-stage deal volume continues to undulate.

5: ["First-Quarter GDP Growth Will Be Just 0.3% as Tariffs Stoke Stagflation Conditions, Says CNBC Survey," CNBC, Steve Liesman, March 31, 2025.](#)



VC ACTIVITY

Conversely, late-stage and venture growth activity has trended upward from 17.6% at the start of 2022 to nearly 33% at the start of 2025.

The rationale for these trajectories is varied. Over the past three to five years, fewer investments have been made across venture, adversely affecting gaming downstream. As the quality bar and opportunity cost of these transactions increases with the zero-interest-rate period further in the rearview mirror, fewer deals close. As we indicated in our [2025 Consumer Technology Outlook](#), fewer funds are actively backing gaming startups as emergent trends, like Web3 and the Metaverse, decelerate and few success stories have emerged from previous fundraising cycles. Competition for user attention is as intense as ever, with short-form video on social media eating into user attention, leading games ossifying their position at the top of the charts across mediums, and the overall supply of content coming at a pace inconsistent with consumer demand.

And yet, dry powder certainly exists. Several investors closed new funds in recent months: Arcadia Gaming Advisors announced an inaugural fund for \$100 million, led by Tripledot Studios co-founder Akin Babayigit; Play Ventures raised \$140 million for its third fund in November; Laton Ventures closed a \$50 million fund in February; and Kameha Ventures announced a debut \$25 million gametech fund in March. However, for many investors, the lack of breakout hits from well-funded companies has eroded confidence in the industry. Those who successfully secured early-stage financing may find themselves re-entering a fundraising cycle with a completed product but no commercial traction, which intersects with this investor skepticism.

Exit pathways underwhelm

PitchBook's [2025 US Venture Capital Outlook](#) noted that exit activity is top-heavy, concentrated among only two deals—CoreWeave's IPO and Google's acquisition of Wiz—which accounted for an outsized portion of liquidity. While several high-visibility startups have filed for IPO, tariff and macroeconomic uncertainty clouded the outlook throughout Q1 as platforms such as Klarna, StubHub, and Discord delayed their processes.

The gaming industry reflects these trends to an exaggerated extent. Quarterly exit activity was subdued: 13 deals produced \$128 million in disclosed exit value. M&A activity fared slightly better, producing 31 acquisitions and \$2.3 billion, though both figures are pacing below 2024's \$15.3 billion across 118 deals. When recently announced deals finally close, the top-line figures will also be top-heavy, counting deals such as Scopely's purchase of Niantic for \$3.5 billion and Discord's eventual IPO. Only three other companies in our curated vertical are currently in IPO registration.

Looking ahead, few gaming unicorns exist, which mitigates the demand for liquidity from the unicorn backlog across venture. Incumbents are moving to fortify balance sheets and focus on distribution innovation as the current console cycle ages. While select strategics signal a willingness to be acquisitive, such as Savvy Games Group's comments regarding the PC/console market, this disposition is the exception, not the norm.



VC ACTIVITY

Gametech activity is buoyed by AI

We previously suggested the delta between content and backend software-as-a-service (SaaS) deals would narrow. While we fully expect content to be the industry's growth driver, investor interest in SaaS continues to hold. On a trailing 12-month basis, development startups accounted for 164 transactions totaling \$2.5 billion in deal value compared with 313 deals and \$2 billion for content startups (excluding the Disney-Epic Games deal and Infinite Reality's \$3 billion later-stage deal in Q1 2025).

This interest is propelled by rapidly improving generative AI and large language models that investors hope will reign in spiraling AAA development costs, promote SaaS-based business models instead of the boom-or-bust nature of game development, and offer exposure to the broader game industry's nearly \$200 billion market.

We analyzed these trends in our [Q1 2025 Analyst Note: The Gaming SaaS Wars](#). Notable Q1 rounds include GPU platform Ubitus K.K. raising \$29.5 million, digital-agent platform Altera's \$31 million raise, game-server platform Beamable's \$13.5 million Series A, and visual-generation platform Bria's \$40 million Series B.

Seeking marginal gains in monetization, the industry looks to advertising tech (adtech)

While video game advertising spending is pushing \$50 billion, this ranks well below advertising spending for categories like social media or retail media and concentrates in the mobile gaming ecosystem.⁶ Historically, advertising technology in games has been constrained by several factors, including nonstandardized ad units, complexity in measuring the commercial impact of in-game ad units, and few programmatic advertising opportunities. In Q1, several announcements underscored this strategic imperative.

Roblox announced a partnership with Alphabet to add rewarded video ads, and Discord announced Video Quests on its mobile app (with a pilot coming in the summer), similarly leaning into rewarded video ads. In our Q1 analyst note on gametech, several of the largest YoY increases in PitchBook's Exit Predictor outcomes were for adtech companies, including InMobi and Superfine.

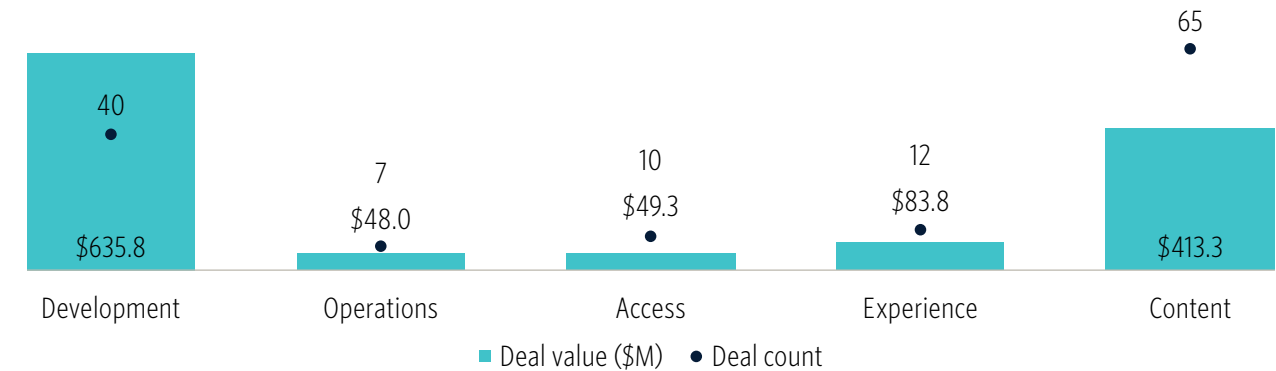
We view this development as both difficult and inevitable. The industry has untapped potential for advertisers that will be addressed over time as gaming continues to expand its reach and visibility. However, the problems of ad units and their measurement remain unsolved and will thus mitigate adtech's near-term reach until solutions are found.

⁶: "Worldwide Mobile In-App and In-Game Advertising Forecast, 2024-2028: Video Ads Rolls On," IDC, Lewis Ward, March 2024.



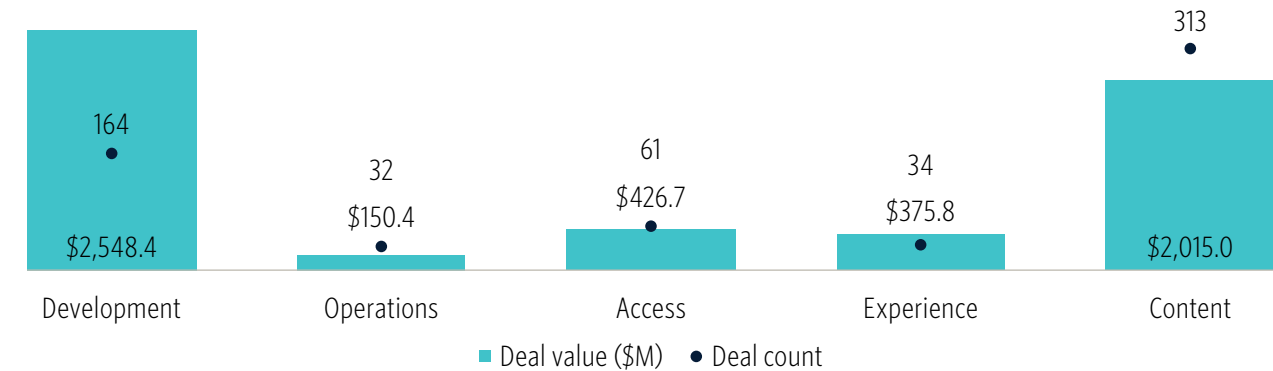
VC ACTIVITY

Q1 2025 gaming VC deal activity by segment



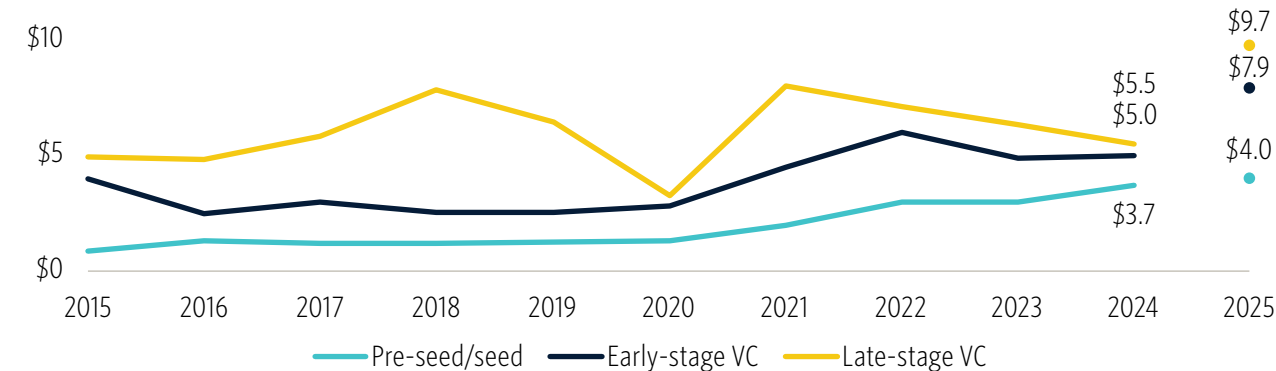
Source: PitchBook • Geography: Global • March 31, 2025

Trailing 12-month gaming VC deal activity by segment



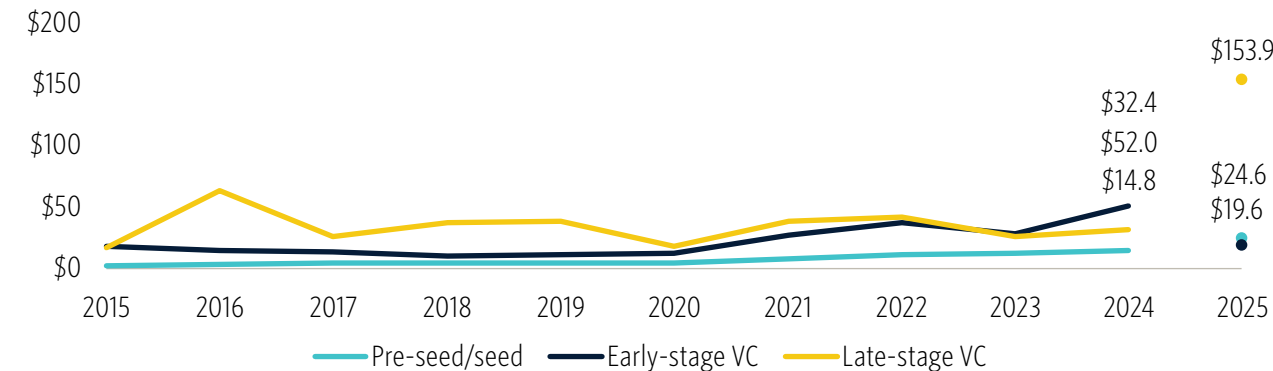
Source: PitchBook • Geography: Global • March 31, 2025

Median gaming VC deal value (\$M) by stage



Source: PitchBook • Geography: Global • March 31, 2025

Median gaming VC pre-money valuation (\$M) by stage



Source: PitchBook • Geography: Global • March 31, 2025



VC ACTIVITY

Key gaming early-stage VC deals in Q1 2025

Company	Close date	Category	Deal value (\$M)	Post-money valuation (\$M)	Lead investor(s)	Valuation step-up
Alterra	January 21	Developer tools, NPCs	\$31.0	N/A	MiH Ventures	N/A
Grand Games	January 9	Publishers, developers & studios	\$30.0	N/A	Balderton Capital	N/A
Story Foundation	January 1	Developer tools, blockchain	\$29.3	N/A	N/A	N/A
Good Job Games	February 20	Publishers, developers & studios	\$23.0	N/A	Arcadia Gaming Advisors, Menlo Ventures	N/A
Playback	March 27	Streaming	\$22.0	N/A	N/A	N/A
Halliday	January 16	Developer tools, Web3	\$20.0	N/A	Andreessen Horowitz	N/A
SlingShot DAO	March 17	Social & community	\$16.0	N/A	N/A	N/A
Castle	February 7	Game engine	\$15.0	\$59.0	N/A	1.4x
Oshi	January 20	Publishers, developers & studios	\$12.5	N/A	Polychain Capital, Superscript	N/A
Just Slots	February 14	Social & community	\$11.4	N/A	N/A	N/A

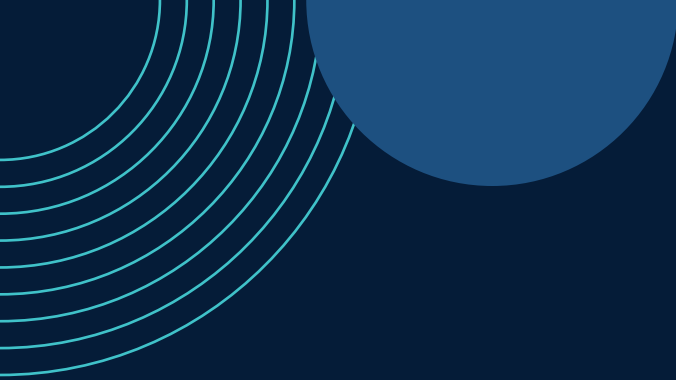
Source: PitchBook • Geography: Global • March 31, 2025



Gaming VC deal summary

	Quarterly activity					Trailing 12-month activity	
	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2023 to Q1 2024	Q2 2024 to Q1 2025
Deal count	210	177	152	141	134	715	604
QoQ change	18.0%	-15.7%	-14.1%	-7.2%	-5.0%	N/A	-15.5%
Share of total VC	1.9%	1.7%	1.6%	1.5%	1.5%	1.7%	1.6%
Deal value (\$B)	\$1.4	\$1.4	\$1.6	\$1.3	\$1.2	\$4.6	\$5.5
QoQ change	18.4%	2.6%	13.8%	-21.1%	-3.0%	N/A	18.8%
Share of total VC	1.6%	1.5%	1.9%	1.1%	0.9%	1.4%	1.3%
Exit count	7	14	16	13	10	40	53
Public listings	0	1	1	0	1	1	3
Acquisitions	3	12	15	10	8	30	45
Buyouts	4	1	0	3	1	9	5

Source: PitchBook • Geography: Global • March 31, 2025



About PitchBook Industry and Technology Research

Independent, data-driven, and timely market intel

As the private markets ecosystem continues to grow in complexity and competition, investors need tools and data that can give them an edge.

Our Industry and Technology Research provides detailed analysis of established industries and nascent tech sectors from the perspective of private market dealmaking, helping you stay current on market trends and providing the insights you need to pursue new opportunities with confidence.

©2025 by PitchBook Data, Inc. All rights reserved. No part of this publication may be reproduced in any form or by any means—graphic, electronic, or mechanical, including photocopying, recording, taping, and information storage and retrieval systems—without the express written permission of PitchBook Data, Inc. Contents are based on information from sources believed to be reliable, but accuracy and completeness cannot be guaranteed. Nothing herein should be construed as any past, current or future recommendation to buy or sell any security or an offer to sell, or a solicitation of an offer to buy any security. This material does not purport to contain all of the information that a prospective investor may wish to consider and is not to be relied upon as such or used in substitution for the exercise of independent judgment.

PitchBook Data, Inc.

Nizar Tarhuni Executive Vice President of Research and Market Intelligence

Paul Condra Global Head of Private Markets Research

James Ulan Director of Research, Emerging Technology

Industry and Technology Research team

PitchBook's Industry and Technology Research team provides comprehensive updates on over 20 different coverage areas.

[Visit our website](#) for the full list.

Eric Bellomo
eric.bellomo@pitchbook.com

Jim Corridore
jim.corridore@pitchbook.com

Aaron DeGagne
aaron.degagne@pitchbook.com

Alex Frederick
alex.frederick@pitchbook.com

Jonathan Geurkink
jonathan.geurkink@pitchbook.com

Kazi Helal
kazi.helal@pitchbook.com

Derek Hernandez
derek.hernandez@pitchbook.com

Ali Javaheri
ali.javaheri@pitchbook.com

John MacDonagh
john.macdonagh@pitchbook.com

Rudy Yang
rudy.yang@pitchbook.com

Dimitri Zabelin
dimitri.zabelin@pitchbook.com